AbraFi

The Integrated DeFi Ecosystem

USDAF · LFO · Swoon · Vega

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The Problem

Why the current DeFi stack doesn't work

DeFi is fragmented — lending, trading, predictions, and stablecoins live on separate platforms

Capital is inefficient — margin sits dead on perp DEXes earning 0%

Prediction markets have no leverage and no connection to DeFi capital markets

Institutional capital can't access DeFi with proper risk controls

No stablecoin is purpose-built for DeFi velocity

The AbraFi Vision

Four protocols. One liquidity layer. Every dollar works everywhere.

AbraFi is a vertically integrated DeFi ecosystem where stablecoins, lending, prediction markets, and perpetual futures share a single liquidity backbone. Your deposits earn yield while backing perp positions. Your prediction market tokens serve as loan collateral. Every transaction settles in USDAF.

USDAF

The Money

LFO

The Signal

Swoon

The Credit

Vega

The Leverage

USDAF

The Money Layer

USDAF — Fully On-Chain Synthetic Dollar

The first fully trustless synthetic dollar

Delta-neutral synthetic dollar: spot crypto + short perps = $1 peg

100% on-chain — no CEX, no custodians, no trust assumptions

Yield from SOL staking (~7%), perp funding rates, basis trades, lending

sUSDAF holders earn 5-12% APY (80% of gross yield)

Native on Solana — sub-second finality, <$0.01 transaction cost

Universal settlement currency for the entire AbraFi ecosystem

USDAF — How It Works

The Delta-Neutral Hedge

User deposits SOL → staked to JitoSOL (~7% APY)

Equal short SOL-PERP opened on Jupiter/Drift/Vega

SOL up: spot gains, short loses → net zero

SOL down: spot loses, short gains → net zero

Revenue: staking yield + funding rate + basis

4 on-chain programs: Core, Hedge, Yield, Risk

Yield Sources (Current: 5-12% APY)

SOL liquid staking (JitoSOL/mSOL): ~7%

Perp funding rates (shorts collect): 3-15%

Futures basis trades: 4-16%

Stablecoin lending (Kamino/Swoon): 4-5%

Protocol takes 20%, sUSDAF holders get 80%

SOL staking = yield FLOOR (~5% even in bear markets)

USDAF vs. Ethena (USDe)

Ethena USDe (Incumbent)

Hedge on CEX (Binance, Deribit, OKX)

Custody via Fireblocks/off-exchange settlement

Opaque — trust attestations, delayed reporting

Censorable — exchanges can freeze positions

Currently paying 3.5% sUSDe yield

USDAF (Ours)

Hedge 100% on-chain (Jupiter, Drift, Vega)

Smart contract vaults (PDAs) — no custodian

Transparent — verify every position on Solana

Censorship resistant — permissionless programs

Target 5-12% sUSDAF yield (SOL staking advantage)

LFO

Prediction Markets

LFO — Trade the Future

The world's information market, on-chain

On-chain prediction markets on real-world events

Binary outcomes: YES/NO tokens that resolve to $1 or $0

Markets: crypto milestones, macro events, tech, politics, sports

All trades settled in USDAF — every trade drives stablecoin velocity

Deployed on Solana — instant settlement, negligible gas

Live on devnet with real-time charting via WebSocket indexer

LFO — Beyond Polymarket

What Polymarket Built

$9B trading volume in 2024

Single-chain, isolated platform

No leverage on positions

No connection to DeFi capital markets

Tokens sit idle after purchase

What LFO Adds

LFO YES/NO tokens are Swoon collateral

Borrow USDAF against your conviction

Prediction perps on Vega (3-5x leverage)

LFO mid-price feeds Vega as native oracle

Every $1 of LFO volume generates $5+ USDAF velocity

Swoon

The Credit Layer

Swoon — Hub & Spoke Lending

One liquidity pool. Many risk profiles.

Shared liquidity Hub with risk-isolated Spokes (Aave V4 architecture)

Hub: USDAF, SOL, BTC, ETH pools — shared across all Spokes

Core Spoke: full cross-collateral lending (75% LTV)

LFO Spoke: isolation mode — borrow USDAF against prediction tokens (40% LTV)

Vega Spoke: yield-bearing margin — deposits back perp positions via CPI

Institutional Spoke (Y2): KYC-gated, custom risk parameters

Swoon — How Spokes Work

Each Spoke isolates risk while sharing the Hub's liquidity

Core Spoke

SOL, BTC, ETH collateral

75% LTV, 85% liquidation

Full cross-collateral

Standard DeFi lending

Variable rate curves

LFO Spoke

LFO YES/NO token collateral

40% LTV, 55% liquidation

Isolation mode

$500K supply cap per asset

$200K debt ceiling

Vega Spoke

Margin reservation via CPI

Deposits earn yield + back perps

Unified health factor

Auto-release on position close

P&L settlement on-chain

Institutional (Y2)

KYC-gated access

Custom rate curves

Higher collateral requirements

Priority liquidation protection

White-label for fund managers

Swoon — The Margin Innovation

Traditional Perp DEX (Drift, Jupiter)

Deposit $10K USDAF as margin

Margin sits idle earning 0%

Separate from lending positions

Withdraw margin → close position

Capital efficiency: 1x

Swoon + Vega

Deposit $10K USDAF into Swoon

Earn 3-5% APY from borrowers

Same deposit backs Vega perp margin

One health factor across everything

Capital efficiency: 2-3x

Vega

Perpetual Futures Exchange

Vega — The Leverage Layer

Every dollar of margin earns yield. Nobody else does this.

Perpetual futures DEX with yield-bearing margin

Hybrid vAMM + Oracle execution (Pyth price, vAMM slippage)

Protocol-as-counterparty — no market makers needed at launch

BTC, ETH, SOL perps (10-20x) + prediction perps from LFO (3-5x)

Hourly funding rates, clamped ±10bps per period

All positions, P&L, funding, and liquidations settle in USDAF

Vega — Prediction Perps

A new asset class: leveraged positions on real-world outcomes

How It Works

LFO market mid-price → Vega oracle via CPI

BTC-GOLD-PERP: leveraged bet on BTC vs Gold

SOL-500-PERP: leveraged bet on SOL reaching $500

vAMM provides continuous liquidity

Funding rate keeps price aligned with LFO

Why It Matters

Polymarket: bet $100, win $100

Vega: bet $100 at 5x, win $500

Novel contracts with no competition

Every trade generates USDAF demand

Institutional-grade risk management

Vega — Fee Structure & Economics

Trading Fees

Crypto perps: 5 bps taker / -2 bps maker rebate

Prediction perps: 8 bps taker / 0 bps maker

Revenue split: 40% AFI stakers, 30% insurance, 20% treasury, 10% referrals

Funding rate: 10% protocol cut

Liquidation fee: 50 bps (60% liquidator, 30% insurance, 10% protocol)

Projected Revenue

Y1: $3.6M (crypto perps + prediction perps + funding)

Y2: $24.3M

Y3: $83.8M

Driven by OI growth: $25M → $150M → $500M

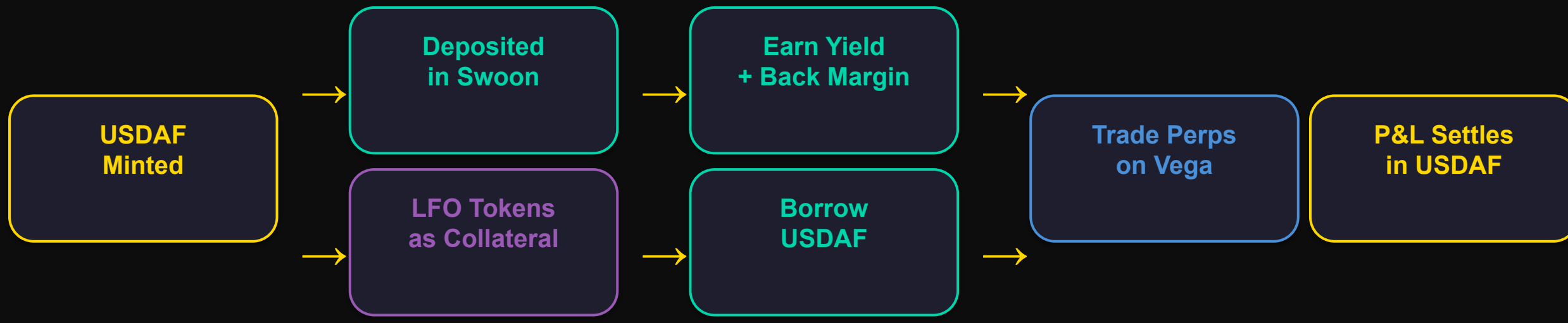
Yield-bearing margin is a permanent structural moat

The Flywheel

How Everything Connects

The AbraFi Flywheel

Every product feeds every other product



Every $1 of TVL generates $25+ of annual USDAF velocity at steady state

Cross-Program Integration (CPI)

On-chain program-to-program calls. Not APIs. Not bridges. Native Solana CPI.

Vega calls Swoon's reserve_margin on position open — margin locked in real-time

Vega calls Swoon's release_margin on position close — margin freed instantly

Vega calls Swoon's settle_perp_pnl — profits/losses flow through lending pools

LFO mid-price feeds Swoon collateral oracle — no external dependency

LFO mid-price feeds Vega prediction perp oracle — native price discovery

All cross-program calls verified on-chain — trustless, atomic, composable

AFI — Governance Token

One token to govern them all

Single governance token across all four protocols

Stakers earn 40% of Vega trading fees + protocol revenue share

Vote on new markets, risk parameters, Spoke creation, fee tiers

Liquidity mining incentives (4% Y1 allocation, tapering to 0% by Y3)

Alignment: the better the ecosystem performs, the more AFI earns

Revenue Model

The Numbers

Revenue by Stream — Three-Year Projection

Base case — includes Abra institutional lending migration in Y2

Revenue Stream	Year 1	Year 2	Year 3
USDAF Hedge Revenue	$2.8M	$24.0M	$90.0M
Swoon Lending Fees	$0.2M	$2.1M	$8.4M
LFO Trading Fees	$3.0M	$16.2M	$54.0M
Vega Perp Fees	$1.3M	$9.9M	$45.3M
Vega Funding Revenue	$1.8M	$10.5M	$38.5M
Prediction Perp Fees	$0.5M	$3.9M	$15.8M
Institutional Premium	—	$1.2M	$6.5M
Aave Fee Savings	—	$3.0M	$6.0M
Total Revenue	$9.6M	$70.8M	$264.5M

Profitability

93-94% gross margins from day one

Metric	Year 1	Year 2	Year 3
Revenue	$9.6M	$70.8M	$264.5M
Cost of Revenue	($0.6M)	($2.0M)	($5.0M)
Gross Profit	$9.0M	$68.8M	$259.5M
Gross Margin	94%	97%	98%
Operating Expenses	($1.9M)	($4.0M)	($7.0M)
Operating Profit	$7.1M	$64.8M	$252.5M
Operating Margin	74%	92%	95%

Liquidity Bootstrap — Zero Cash Outlay

$45-438M TVL at launch without spending treasury capital

Sources

ACM idle USDAF routing: $25-300M

Points campaign (pre-launch): $5-50M

AFI liquidity mining (90 days): $10-75M

Partner vault commitments: $5-13M

Total token dilution: 4% of AFI supply

Cash required: $0

USDAF Acquisition Funnel

ACM clients: wire USD → mint USDAF 1:1

Kraken: buy with USD/USDC/USDT

DEX: swap any Solana token → USDAF

MoonPay: credit card / bank transfer

Earn: borrow, trade, win predictions

Every channel feeds USDAF supply

Abra Lending Migration (Year 2)

Migrate institutional book from Aave to Swoon — vertical integration

Financial Impact

Stop paying Aave protocol fees ($3M Y2, $6M Y3)

+$2.5B institutional TVL by Y3

+$2B USDAF supply (forced delta-neutral minting)

Institutional premium services: $6.5M Y3

Total delta: +$71M revenue by Y3

Strategic Impact

Own your infrastructure (vs. renting Aave)

Control risk parameters (no DAO drama)

Better regulatory narrative for SEC

Data stays internal (not public on Aave)

DeFi multiples on protocol revenue (25x vs 8x)

Competitive Moat

Five structural advantages that compound over time

Vertical Integration

Only platform owning the full stack:

stablecoin + lending + predictions

+ perps + governance

Competitors use 3rd-party infra

Yield-Bearing Margin

Margin earns 3-5% APY

Permanent capital efficiency edge

Can't be replicated without

owning the lending protocol

Prediction Perps

Novel asset class — no competition

LFO oracle → Vega perp (native)

Can't exist without integrated

prediction + perp infrastructure

USDAF Flywheel

USDAF shorts on Vega = free liquidity

USDAF deposits in Swoon = free TVL

Owning stablecoin + DEX + lending

= self-reinforcing yield loop

Institutional Moat

Abra's $2B+ AUM as captive demand

KYC-gated Spoke for institutions

Regulatory-compliant by design

SEC narrative: "We own it"

Launch Timeline

Five weeks from audit to full ecosystem

Week	Milestone	What Ships
Week 1-2	Audit + Polish	Submit to auditor, Pyth oracles, frontend production, monitoring
Week 3	Swoon + LFO Mainnet	Hub & Spoke lending + prediction markets live, $5-7M seeded
Week 4	Vega Mainnet	Crypto perps (BTC/ETH/SOL), yield-bearing margin, insurance fund
Week 5	Full Ecosystem	Prediction perps, LFO→Vega oracle CPI, unified portfolio
Week 6+	Expansion	Parameter expansion, new markets, institutional Spoke, RWA Spoke

Current Build Status

All four protocols built, tested, and deployed to Solana devnet

Programs Deployed

LFO: prediction markets — live with indexer + charts

Swoon: Hub & Spoke lending + margin extensions

Vega: perp DEX + vAMM + CPI margin integration

Cross-protocol: Vega↔Swoon CPI verified on-chain

220+ automated tests across all protocols

Frontends Running

LFO: prediction market trading UI (port 3000)

Swoon: earn/borrow/portfolio (port 3001)

Vega: trading terminal + predictions (port 3002)

All dark theme, Tailwind, wallet adapter

Component tests passing on all three

The Thesis

USDAF is the first fully on-chain synthetic dollar.
Delta-neutral hedging generates 5-12% yield — 80% to holders, 20% to protocol.
The lending, prediction, and perp products create USDAF demand.
The self-referential flywheel (USDAF shorts on Vega, deposits in Swoon) is the moat.

Y3 Target: $265M Revenue · $253M Operating Profit · 95% Margin · $5B USDAF Supply

Appendix

Technical Architecture

Solana-native, Anchor framework, fully on-chain

On-Chain Programs

Anchor 0.30-0.32 (Rust/BPF)

Pyth oracle integration (mainnet feeds)

CPI: Vega↔Swoon margin bridge

CPI: LFO→Swoon/Vega oracle feed

PDA-based account architecture

Upgradeable with multisig authority

Off-Chain Infrastructure

Next.js 15 + Tailwind frontends

WebSocket indexer for real-time data

Keeper bots: funding, liquidation

RPC redundancy + monitoring

Bug bounty via Immunefi

Two independent security audits

Account Architecture (PDAs)

All state derived deterministically from seeds — no admin keys needed for reads

Account	Seeds	Protocol
Hub	["hub"]	Swoon
AssetPool	["pool", mint]	Swoon
Spoke	["spoke", spoke_id]	Swoon
CollateralConfig	["collateral", spoke, mint]	Swoon
Position	["position", spoke, owner]	Swoon
MarginAccount	["margin", pool, owner]	Swoon
VegaState	["vega"]	Vega
PerpMarket	["perp_market", index]	Vega
TraderAccount	["trader", owner]	Vega